BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 23-G-0225 & 23-G-0226

September 1, 2023

Prepared REDACTED Testimony of:
Staff Site Investigation &
Remediation Panel

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Q. Please state the names, employer, and business address of the Staff Site Investigation and Remediation Panel, or SSIRP.

A. Our names are John Castano, Edward Molocznik, Anthony J. DiGiacomo, and Kristopher Aadahl. We are employed by the New York State Department of Public Service, or Department. Our business address is Three Empire State Plaza, Albany, New York 12223.

Q. Mr. Castano, have you discussed your credentials in another testimony submitted in this proceeding?

A. Yes. My credentials are provided in the testimony of the Revenue Requirements Panel.

Q. Mr. Molocznik, what is your position at the department?

A. I am employed as a Utility Analyst 2 (Environmental), in the Office of Energy System Planning and Performance, or ESPP.

Q. Please briefly describe your educational background and professional experience.

A. I graduated from the State University of New York, or SUNY, Plattsburgh in 2007 with a Bachelor of Science degree in Geology. I

received my New York State Professional Geologist license in 2017 and joined the Department that same year. Prior to joining the Department, I held Geologist and Environmental Scientist positions at environmental consulting and testing firms with nearly a decade of private sector experience. My private sector experience primarily involved performing soil and groundwater investigations related to due diligence or projects regulated by the New York State Department of Environmental Conservation, or DEC.

Q. Please describe your responsibilities at the Department.

A. My primary responsibilities include evaluating environmental resources, community impacts, and construction feasibility issues for electric transmission facilities under Article VII of the New York State Public Service Law, or PSL and Title 16 of the New York Codes, Rules and Regulations, or NYCRR, Part 102. Additionally, I have been assigned to review Site Investigation and Remediation, or SIR, matters and provide recommendations for cases before the

New York State Public Service Commission, or the Commission.

Q. Have you testified in previous Commission proceedings?

A. Yes, over the past six years I have submitted testimony as part of the SSIRP in rate proceedings for Central Hudson Gas and Electric Corporation; Consolidated Edison Company of New York, Inc., or Con Edison; Orange and Rockland Utilities, Inc.; New York State Electric and Gas Corporation, or NYSEG; and Rochester Gas and Electric Corporation, or RG&E. Most recently, I testified in Con Edison's rate proceedings in Case 22-S-0659. As part of the SSIRP, I reviewed the SIR program management and cost control practices detailed in the utilities' rate filings.

Q. Mr. DiGiacomo, have you discussed your credentials in another testimony submitted in this proceeding?

A. Yes. My credentials are provided in the testimony of the Revenue Requirements Panel.

Q. Mr. Aadahl, what is your position at the Department?

A. I am employed as a Utility Analyst 1 (Environmental) in the Environmental Certification and Compliance section of ESPP.

Q. Please briefly describe your educational background and professional experience.

A. I graduated from SUNY New Paltz in 2017, with a Bachelor of Science degree in Geology. Prior to joining the department in 2022, I was employed by the DEC, first as a Solid Waste Geology intern, followed by a full-time position as an Environmental Engineering Technician. I was also previously employed as a Field Technician with an environmental remediation company that offered consulting, drilling, and remediation services. I have experience with field sampling of various media, site inspections, soil logging, vapor testing, soil analysis, aquifer pumping tests, and other aspects of geological fieldwork.

Q. Please describe your responsibilities at the Department.

A. My primary responsibilities include evaluating environmental resources, community impacts, and construction feasibility issues for electric

transmission facilities under Article VII of the PSL and 16 NYCRR Part 102. I am also responsible for reviewing renewable energy generation projects pursuant to New York State Executive Law Section 94-C, and SIR matters associated with rate cases before the Commission.

Q. Have you testified in previous Commission proceedings?

A. Yes. I have testified in cases 22-E-0064 and 22-G-0065, and 22-S-0659 concerning Con Edison; and cases 22-E-0317, 22-G-0318, 22-E-0319, and 22-G-0320 concerning the New York State Electric and Gas Corporation, or NYSEG, and Rochester Gas and Electric Corporation, or RG&E. As part of Staff's SIR Panel in those proceedings, I reviewed the SIR program management and cost control practices detailed in the utilities' rate filings.

Q. What is the Rate Year in these proceedings?

A. The Rate Year is the twelve months ending March 31, 2025.

Q. What is Brooklyn Union Gas Company d/b/a National Grid NY, or KEDNY, and KeySpan

Gas East Corporation d/b/a National Grid, or KEDLI, collectively referred to as the Companies, Fiscal Year?

A. KEDNY and KEDLI's Fiscal Year represents any twelve-month period ending March 31. For example, Fiscal Year 2025 represents the period from April 1, 2024, to March 31, 2025.

Q. Please summarize the scope of the SSIRP's testimony.

A. Our testimony consists of our review of the SIR programs and costs of KEDNY and KEDLI, including the Companies' SIR practices, historic and forecasted expenditures, and rate allowance and SIR surcharge requests. We then present our findings regarding the effectiveness of the Companies' SIR cost mitigation strategies and procurement practices for SIR work; the Companies' compliance with the regulatory requirements applicable to their SIR sites; and the reasonableness of the Companies' projected SIR expenditures and proposed rate allowances related to the recovery of their SIR program costs. Our findings concerning these issues form the basis for our recommendations to the

Commission.

Q. Is the Panel sponsoring any exhibits?

A. Yes, we are sponsoring two exhibits: Exhibit___(SSIRP-1) and Exhibit___(SSIRP-2).

Q. Please describe Exhibit___(SSIRP-1).

A. Exhibit___(SSIRP-1) includes the Companies' response to Department Staff's, or Staff, Interrogatory Requests we relied upon and have referenced throughout our testimony. We will refer to these responses by the number assigned by the Department, for example DPS-100.

Q. Please describe Exhibit___(SSIRP-2).

A. Exhibit___(SSIRP-2) consists of the workpapers that we created to calculate the adjustments referenced in our testimony.

Regulation and Oversight

Q. Briefly describe the regulation and oversight of SIR programs in New York State.

A. SIR programs are primarily overseen by the DEC, in accordance with 6 NYCRR Part 375 regulations. The New York State Department of Health, or DOH, also provides guidance on items such as standards, criteria and guidance for drinking water and soil vapor intrusion. However, DEC is

primarily the lead agency. Through orders or agreements with utilities, DEC also regulates the cleanup of former Manufactured Gas Plant (MGP) sites within the State.

Q. Is there any Federal Oversight of SIR programs?

A. The United States Environmental Protection Agency (EPA) regulates and oversees certain sites regulated pursuant to the Federal Comprehensive Environmental Response, Compensation and Liability Act of 1980 or CERCLA, also referred to as Superfund sites.

Q. How are SIR activities for the utilities' MGP sites within New York State prioritized?

A. In consultation with DOH, DEC prioritizes sites based on several considerations, including potential impacts to public health, existing land use of the site and nearby properties, proximity of the site to sensitive environmental receptors, cultural and recreational resources in close proximity to the site, reliance on private and public water supply wells in close proximity to the site, and potential reuse of the site.

Q. Are there any recent developments with respect

to regulatory matters or notable developments that could affect the Companies' SIR programs?

A. Yes. Although it has not been a significant cost driver for KEDNY or KEDLI thus far, according to the Companies' response to DPS-877, as shown in Exhibit___(SSIRP-1), there have been recent developments regarding statewide testing for emerging contaminants at existing and new remediation sites. These emerging contaminants include per- and polyfluoroalkyl substances, or PFAs, perfluorooctanesulfonic acid, or PFOs, and 1,4-dioxane, per guidance from the DEC and in collaboration with DOH. Further, the Companies stated that in 2022, DEC changed relevant criteria from an initial Drinking Water Screening Level for PFOS and PFOA to a more stringent Drinking Water Guidance Value. Also, the DEC issued a revised PFAs sampling guidance document in April 2023.

Q. What has been the outcome of the Companies' groundwater sampling analysis related to emerging contaminants?

A. According to the Companies' response to DPS-877, they indicate that none of the former MGP or

Holder sites, which were used to store manufactured gas, have been identified as potential sources of emerging contaminants and the Companies are not currently required to perform long-term monitoring on any of the sites. The Companies have not, to date, incurred any costs related to remediation of emerging contaminants.

Q. Please summarize your understanding of the Commission's Order Concerning Costs for Site Investigation and Remediation, issued November 28, 2012, in Case 11-M-0034, referred to as the SIR Order.

A. During that proceeding, the Commission considered the possibility of adopting a generic policy with respect to the sharing of SIR costs between ratepayers and shareholders. The Commission concluded that a generic cost-sharing requirement should not be applied; however, the Commission stated that cost-sharing should be considered in future rate cases if it is determined that a utility is not exerting appropriate efforts to control SIR costs. The SIR Order required the joint major electric and

gas companies to collaborate and file with the Commission an inventory of best practices for SIR cost containment. In addition, the SIR Order required that, in any future rate filing in which a utility seeks to recover SIR expenses, the utility must provide testimony discussing its SIR cost control efforts and include an attestation to the utility's compliance with the inventory of best practices for SIR cost containment. Furthermore, the SIR Order directed that testimony be provided establishing that the remediation process is in compliance with existing timetables and DEC requirements, explaining the results of any internal process the utility may have conducted to review its SIR procedures, and describing how internal controls are utilized for SIR projects.

SIR Program Overview

Q. What type of expenses are included in the Companies' SIR program?

A. SIR expenses primarily relate to the costs of assessment, monitoring, cleanup, and restoration of sites containing environmental contamination for which the Companies have been found to be

wholly or partially responsible, pursuant to CERCLA or Superfund and the Companies' Consent Orders with DEC, to perform SIR activities associated with the cleanup of environmental contamination resulting from the former operation of MGP sites owned or operated by the Companies and their predecessor companies.

Q. How many sites are currently included in KEDLI's and KEDNY's respective SIR Programs?

A. According to the direct testimony of Charles F. Willard, KEDLI is wholly or partially responsible for 29 MGP sites. Eight of the sites have received closure determinations from the DEC which may include long-term monitoring and one of the eight sites involves other potentially responsible parties, or PRPs. KEDNY is wholly or partially responsible for 27 MGP sites. Four of those sites have received a "No Further Action" determination with limited regulatory obligations. KEDNY is also responsible for three federal Superfund sites associated with the Gowanus Canal and Newtown Creek waterways, as well as the former Pure Earth waste treatment, storage, and disposal

facility, or TSDF.

Q. Have the Companies identified, or been notified, of any other potential SIR sites for which they may be wholly or partially responsible?

A. Yes, both Companies have received notifications from the EPA on September 21, 2018, regarding alleged responsibility for potential contamination at the Pure Earth Superfund Site, a former waste disposal facility located in Vineland, New Jersey. Sometimes due to contracts or limited availability of TSDFs being able to accept certain waste streams, it becomes necessary to use out-of-state facilities. According to the Companies' responses to DPS-320 and DPS-987, as shown in Exhibit___(SSIRP-1) KEDNY and KEDLI were both identified as a PRP out of twelve total PRPs. KEDNY and KEDLI incurred proportional shares of approximately $0.128 and $0.021 million, respectively. To offset their payment, the Companies wrote letters encouraging the EPA to seek hundreds of other PRPs who were not signatories to the EPA's consent order for the Pure Earth Superfund Site. Additionally, the Companies indicated that they

are not aware of violations by Pure Earth during the time they utilized the facility.

Q. Does the Panel agree that the Companies acted in a prudent manner by utilizing this facility in the past?

A. Yes, the Companies employed a reasonable level of due diligence by utilizing a third-party waste broker during operation of the facility and, upon notification by the EPA, by arguing for an equitable share for bearing the cost of cleaning up this site among the other PRPs.

TSDFs and Waste Management

Q. Has Staff assessed the status and compliance of the waste TSDFs utilized by the Companies outside of the Pure Earth facility?

A. Yes. According to the Companies' response to DPS-319, as shown in Exhibit___(SSIRP-1), to ensure appropriate disposal of waste, the Companies use an internal Vendor Advisory Group (VAG), consisting of a cross-functional group of employees. The VAG selects vendors, including waste disposal facilities, through a pre-qualification and auditing process and periodically reviews the TSDFs that the

Companies utilize. The Companies maintain a list of currently approved waste disposal facilities and each facility on the list is audited every five years by the VAG. One of the resources the VAG relies upon is CHWMEG, Inc., which is a non-profit association that consists of various members which have a common goal of evaluating third party waste vendors and providing audits, to assist companies like KEDNY and KEDLI evaluate potential liabilities. The Companies' response to DPS-319 indicates that the CHWMEG, Inc. audit is considered valid for 18 months. As such, the Companies base their VAG audit on CHWMEG's report.

Q. What are the criteria used in the audit?

A. The criteria that the VAG considers in its audits are financial stability, safety record, regulatory history, site history, existing contamination, the proximity of sensitive receptors, any significant incidents, and a risk assessment score for inadvertent releases.

Q. Is the Panel aware of any concerns with any of the Companies' TSDFs?

A. Yes. The Companies' response to DPS-319,

Confidential Attachment 3, contains a summary of the CHWMEG report for a TSDF owned by Veolia, located in Middlesex, New Jersey (Veolia Middlesex facility). In 2022, each of the criteria listed above were evaluated and BEGIN CONFIDENTIAL INFORMATION [redacted]

Q. [redacted]

A. [redacted]

[redacted]

[redacted]

[redacted]

[redacted]

[redacted]

[redacted]> END CONFIDENTIAL INFORMATION

Q. Please discuss the regulatory violations and fines that the Veolia Middlesex facility has received.

A. The Veolia Middlesex facility has been cited for various violations, as indicated in the Companies' response to DPS-319, and many of which were concerning in substance and resulted in monetary fines. According to response DPS-1015, as shown in Exhibit___(SSIRP-1). The first violation was levied during a February 2016 inspection, during which a container was observed being improperly placed beyond the time frame allowed. As a result, a penalty of $0.012 million was assessed by the New Jersey Department of Environmental Protection, or DEP. The second violation stemmed from an inspection that occurred in May of 2018. Following that inspection, the EPA issued a Notice of

Violation, or NOV, related to sample ports and monitoring points indicated on the monitoring report. Veolia Middlesex Facility reached a settlement agreement with the EPA on March 25, 2018, pursuant to which the Veolia Middlesex facility incurred a fine of $0.057 million. The third violation occurred during August 2019, when the DEP issued an NOV for waste acceptance issues, which Veolia Middlesex Facility corrected in December 2019, according to the Companies' response to DPS-319. As a result of this NOV, the Veolia Middlesex Facility entered into a settlement agreement with the DEP for $0.155 million, which the Companies indicate was executed and ultimately resolved the violations on April 22, 2019.

Q. Does the Panel have any recommendations about the Veolia Middlesex Facility?

A. The Panel recommends that the Companies assess whether it is prudent to continue using the Veolia Middlesex TSDF given the history we just discussed. From the Panel's assessment, the facility may pose certain liabilities and potential future fiscal risks that are not in

the best interests of the Companies or ratepayers.

Forecasted Remediation Schedules and Compliance

Q. Have KEDLI and KEDNY demonstrated that their SIR programs are in compliance with all applicable regulatory requirements and timetables?

A. Yes. The Companies provide an attestation of the overall compliance with existing timetables and DEC requirements in the SIR-related testimonies for both KEDNY and KEDLI. Additionally, for KEDNY Exhibit___(CFW-7) and for KEDLI Exhibit___(CFW-5) provide explanations for any variances from the scheduled activities and the activities actually performed in calendar year 2022.

Q. Are the Companies currently in compliance with DEC's Orders and any other agreements?

A. Yes, the Companies provide attestation to compliance with DEC and other regulatory orders and agreements in Section 4 of the Annual Report Concerning the Status of Site Investigation and Remediation Costs, Schedules, and Regulatory Compliance. Since the previous rate filing, the Companies indicate that none of their sites were

identified as being out of compliance with DEC or other regulatory orders and agreements.

Q. Do the Companies describe their practices and strategies for reducing and/or minimizing SIR costs?

A. Yes. As shown in Appendix 1 of the direct testimony of Charles F. Willard for both KEDNY and KEDLI, the Companies provide a summary of their cost control efforts for their SIR programs which comport with the Inventory of Best Practices for Utility SIR Programs, filed March 28, 2013, in Case 11-M-0034, pursuant to the Commission's direction in the SIR Order.

Procurement Process

Q. Describe the Companies' competitive bidding and procurement processes for consultants and remediation contractors for their SIR programs.

A. KEDLI and KEDNY use the same competitive bidding and procurement processes as described in Appendix 1 of the direct testimony of Charles F. Willard for both KEDNY and KEDLI. The Companies use a competitive bidding process to procure consultant and remediation contractor services for all of their SIR sites. The procurement

processes for both environmental consultants and remediation contractors includes a project-specific request for proposals, or RFP. For certain smaller projects or routine work, the Companies sometimes use Blanket Purchase Orders to solicit competitive bids.

Q. Explain the bidding process to procure contractor services for the SIR sites.

A. The Companies require that competitive bids include specific details breaking down the cost, including labor hours, subcontractor costs, and other direct costs for each task. Consultant and contractor bids are then reviewed, and selections are made based on cost, technical merit and personnel qualifications. As of 2018, the Companies also established new Master Services Agreements, or MSAs, for routine SIR-related environmental consulting work and for construction management work. The MSAs issued in 2018 resulted in an expansion of the Companies' consulting pool from five to seven firms.

Q. How are the proposals for these contracts evaluated?

A. Proposals for routine SIR work are evaluated based on the negotiated rates under these agreements.

Q. Does the use of MSAs create any cost efficiencies?

A. Yes, the use of MSAs allows the Companies to maintain consistency with SIR consultants during multi-phased long-term remediation projects and minimize overhead costs by reducing costs of bidding and achieving savings through negotiated rates and volume discounts. According to Appendix 1 of Charles F. Willard's SIR testimonies for KEDNY and KEDLI, respectively, the Companies separately perform interviews and establish rates with a single vendor for circumstances where specialized consulting services are required, particularly in support of legal matters.

Q. Does the Panel agree that the Companies' procurement and competitive bidding practices enable them to effectively implement their SIR programs while mitigating consultant and remediation contractor costs?

A. Yes, the Companies' practices of consultant and

remediation contractor procurement and competitive bidding practices enable the Companies to effectively carry out the SIR programs, while utilizing specific and/or certain competitive bidding processes, like MSAs, that minimize costs for individual sites.

Internal Review and Audits

Q. Do the Companies perform audits or other internal reviews of their SIR Programs or individual SIR sites?

A. According to the Companies' response to DPS-517, as shown in Exhibit____(SSIRP-1), over the past three years, 2020 to date, National Grid conducted four audits for work conducted under its MSA contracts. Further, National Grid's SIR Project Managers performed 132 compliance assessments on active SIR sites between January 2020 and June 2023. National Grid also performs multiple audits per year of facilities the Companies use for disposal of materials from SIR sites in order to minimize the risk of future environmental liabilities. National Grid's SIR group also retained an external consultant to assess active SIR project sites.

Q. Did the Panel review these audit reports and, if so, were any concerns identified?

A. Copies of the audit reports were provided as part of the Companies' response to DPS-517. The Panel reviewed the audit reports and had no concerns with the reports or their findings.

Cost Control Efforts

Q. Do KEDLI and KEDNY describe any mechanisms for reducing and/or minimizing SIR costs?

A. Yes. The Companies identify numerous cost control efforts they utilize in their SIR programs. The Companies' cost control efforts include implementation of flexible investigation work plans that reduce costs associated with recurrent work plans and mobilization of contractors and equipment, development of remediation solutions that contemplate current and planned uses of a site, and reuse of excavated materials where feasible and acceptable.

Q. Do the Companies provide examples of the cost savings that have been achieved?

A. Yes, the Companies document and provide quantified examples of costs either saved or

avoided in Exhibit___(CFW-5) concerning KEDNY and Exhibit___(CFW-3) concerning KEDLI. Value Engineering is embodied in the concept of using innovative and cost-effective techniques to investigate and remediate sites.

Q. Can you elaborate?

A. Yes, first, while DEC and EPA do consider cost as a factor for choosing the plan for remediation, the primary focus is remediation. However, a plan that achieves the same cleanup objective and is achieved through a more cost-effective method may be equally permissible. Further, after the Commission's SIR Order, the Commission issued a series of best practices on March 28, 2013. Best Practice 11 states that utilities should: "evaluate the use of innovative and cost-effective techniques to investigate and remediate sites where appropriate."

Q. Can the Panel describe any innovative instances of cost savings by KEDNY?

A. Yes, a notable instance occurred at the People's Works former MGP site. KEDNY indicates that it successfully defended the ambitions and intent

to terminate the site's existing consent order, which allowed the site to be transferred into a different regulatory program: the Brownfield Cleanup Program in February of 2022. As a result of the transfer of the regulatory program guiding the remediation, costs will now be assumed by the site developer. KEDNY estimates this resulted in a cost-savings of approximately $5.000 million. There are various other cost savings examples cited in Exhibit___(CFW-5) of the direct testimony of Charles F. Willard for KEDNY.

Q. Can the Panel describe any innovative instances of cost savings by KEDLI?

A. Yes, a notable instance occurred at the Bayshore former MGP site. KEDLI requested and received approval from DEC to discharge groundwater at the site, which was subsequently treated by a remediation system. In turn, this avoided the need to containerize, transport, and treat the groundwater at an off-site facility. This resulted in a cost avoidance of approximately $1.500 million dollars. There are various other cost savings examples cited in Exhibit___(CFW-3)

of the direct testimony of Charles F. Willard for KEDLI.

Q. Does the Panel support the Companies' effort to track these cost savings?

A. Yes, the Panel supports the Companies efforts to track and quantify these costs. The Companies' efforts provide a platform for the cost savings and avoidance efforts to be presented in an impactful manner and demonstrate their efforts, consistent with the Inventory of Best Practices for Utility SIR Programs pursuant to the November 28, 2012, Order Concerning Costs for Site Investigation and Remediation.

Q. Do the Companies pursue any other types of cost control efforts?

A. Yes. Both KEDLI and KEDNY routinely perform reviews of historic land uses of specific sites and neighboring properties and perform investigations to identify other PRPs. In addition to this effort, the Companies also seek opportunities for third party cost sharing. According to the Companies' response to DPS-930, as shown in Exhibit___(SSIRP-1), the Companies outline their efforts to equitably share costs

with PRPs; and find additional synergies or opportunities to share costs with other third parties. Common cost sharing opportunities entail overlapping construction efforts or potential redevelopment opportunities, that benefit all parties involved, while reducing overall individual cost burdens.

Q. How much have the Companies saved through third party cost sharing?

A. The Companies' response indicates that from 2019 through 2022, KEDNY achieved a cost savings of approximately $13.7 million by pursuing synergistic relationships with the New York City Parks Department and other third-party property owners. Synergies were obtained at the Williamsburg MGP Site, Front Street Holder Site, and Gowanus Canal Superfund Site.

Q. Describe the results of the efforts by the Companies to identify other PRPs at their SIR sites.

A. As described in the direct testimony of Charles F. Willard on page 38 of 40 for KEDNY and on pages 25 through 26 for KEDLI, both KEDLI and KEDNY have successfully identified PRPs at some

of their SIR sites, including the Gowanus Canal, Newtown Creek, Williamsburg, and Sag Harbor sites. The Companies' efforts have included successful demonstrations to DEC that existing contamination is not solely attributable to the Companies' legacy operations and were alternatively caused by historical operations from other former property occupants or historical operations at adjacent properties. These efforts to identify other PRPs have resulted in decreases in the liabilities of KEDLI and KEDNY at these sites.

Insurance Cost Recovery

Q. Do KEDNY and KEDLI pursue insurance cost recovery opportunities for investigation and remediation of their MGP sites?

A. Yes. For KEDNY, as stated on page 38 of the direct testimony of Charles F. Willard, and for KEDLI, as stated on page 26, the Companies attempt to reduce their respective SIR cost responsibilities by seeking recoveries from insurers. Efforts to recover outstanding insurance claims have involved a combination of litigation and settlement activities. KEDNY has

settled MGP related claims with several insurance companies for approximately $69.8 million. KEDLI has successfully settled MGP claims with a number of insurance companies for approximately $74 million.

Q. Are the Companies currently pursuing insurance cost recoveries with any other excess liability insurance carriers?

A. In its responses to DPS-61 and DPS-588, as shown in Exhibit___(SSIRP-1), KEDNY indicates that it is involved in litigation with Century Indemnity Company. KEDNY states, "[i]n 2022, a jury trial was held for three sites along the Gowanus Canal. A largely favorable verdict for KEDNY was obtained in April 2022. The trial court is reviewing several post-trial motions before it renders its final opinion." The amount of the claim is unknown at this time and will be based on a number of unknown factors. Per the Company's responses to DPS-61 and DPS-1013, included in Exhibit___(SSIRP-1), KEDLI has not identified any additional insurance claims that remain outstanding.

Q. Regarding any historical, liquidated insurers,

did the Panel discuss any unresolved instances?

A. The Home Insurance Company is a liquidated historical insurer for which any remaining recovery is uncertain.

Q. Does the Panel have a recommendation regarding insurance cost recovery?

A. Yes. The Panel recommends that the Commission require the Companies to report the outcome of the Century Indemnity insurance policies litigation to the Commission when a final ruling is made or during the next filing.

Litigation

Q. Are there any legal cases involving claims made by or against the Companies relating to their sites?

A. Yes. According to the response to DPS-321 included in Exhibit___(SSIRP-1), BEGIN CONFIDENTIAL INFORMATION [redacted]

[redacted] END CONFIDENTIAL INFORMATION.

Q. Is there any pending litigation regarding Superfund sites?

A. Yes, the Companies' response to DPS-61 indicates that KEDNY filed a federal Superfund lawsuit in January 2017 against various parties from which it seeks cost recovery and contribution for SIR costs in the area of KEDNY's Williamsburg MGP site. Litigation concerning the Williamsburg MGP site remains ongoing. In 2017, KEDNY filed a lawsuit and citizen suit under the Resource Conservation and Recovery Act against ExxonMobil for cost recovery and to direct ExxonMobil to remediate its former petroleum refinery around the former Williamsburg MGP site. While the lawsuits were filed in 2017, both cases remain pending and are proceeding through the discovery phase. The outcome is uncertain at this time and should be addressed in future filings.

Q. Does the Panel have a recommendation for pending litigation?

A. The Companies should report to the Commission if

and when the pending litigation with third parties for the Williamsburg MGP site is finalized.

SIR Program Costs & Rate Recovery

Q. What level of SIR costs does KEDNY currently recover through base rates?

A. KEDNY's annual base rate recovery for SIR costs is $89.441 million. This includes annual recovery of one-tenth of the forecast SIR deferral balance as of December 31, 2016, or $18.521 million, and $70.920 million for forecasted expenses at its MGP & Superfund sites.

Q. Does KEDNY fully reconcile SIR costs?

A. Yes, KEDNY fully reconciles its actual SIR expense to the forecast rate allowance on an annual basis, except for the Citizens Site, for which KEDNY absorbs 10 percent of the remaining investigation costs. Additionally, the Commission in its Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans, issued December 16, 2016, in Cases 16-G-0058 and 16-G-0059, et al., otherwise referred to as the 2016 Rate Order, and in its Order Approving Joint

Proposal, As Modified, and Imposing Additional Requirements, issued August 12, 2021, otherwise referred to as the 2021 Rate Order, authorized KEDNY to implement a SIR Recovery Surcharge if certain spending thresholds are exceeded.

Q. Explain how the SIR Recovery Surcharge functions.

A. In the event the difference between actual SIR costs, inclusive of the Gowanus Canal and Newtown Creek, and the SIR base rate allowance exceeds $25 million on a cumulative basis, KEDNY is authorized to recover through the SIR Recovery surcharge: (1) the difference between actual SIR expense and the SIR rate allowance; (2) any amount that was not recovered in the prior year's SIR Recovery Surcharge because the cumulative difference between actual SIR costs, and the base rate allowance did not exceed the $25 million threshold and/or the amount would have increased KEDNY's aggregate revenue by more than two percent.

Q. Has KEDNY incurred costs above the set threshold triggering the SIR Recovery Surcharge Mechanism?

A. No. KEDNY has not triggered the SIR Recovery

Surcharge Mechanism since being implemented.

Q. Please describe KEDNY's recent SIR spending.

A. Over the past several years, KEDNY has experienced substantial fluctuations in its annual SIR expense. Referring to, Exhibit___(CFW-8) and Exhibit___(CFW-9) for KEDNY, the total annual spend is as follows; $42.173 million in calendar year 2019, $152.957 million in calendar year 2020, $77.689 million in calendar year 2021, and $76.080 million in calendar year 2022.

Q. What level of SIR costs does KEDLI currently recover through base rates?

A. KEDLI's annual base rate recovery for SIR costs is $19.068 million. This includes annual recovery of one-tenth of the forecast SIR deferral balance as of December 31, 2016, or $14.168 million, and $4.90 million for forecasted expenses at its MGP sites.

Q. Does KEDLI fully reconcile SIR costs?

A. Yes. Each year, KEDLI fully reconciles its actual SIR expense to the forecast rate allowance. Any under or over expenditures are deferred for future refund to or recovery from

customers.

Q. Please describe KEDLI's recent SIR spending.

A. KEDLI has experienced a declining level of spending from 2019 to 2022, largely attributable to less remedial construction activity. As shown in Exhibit___(CFW-6) and Exhibit___(CFW-7) for KEDLI, the total annual spend is as follows; $8.459 million in calendar year 2019, $8.080 million in calendar year 2020, $5.290 million in calendar year 2021, and $3.356 million in calendar year 2022.

Q. Explain how KEDNY developed its Rate Year forecast in this proceeding.

A. KEDNY forecasted its Rate Year expense separately for its MGP sites and Superfund Sites. For its MGP sites, to forecast the Rate Year, KEDNY began with its projected level of MGP spending from Fiscal Year 2025 through Fiscal Year 2028. KEDNY then made adjustments to reduce its projected annual MGP site forecast by 20 percent and to remove the costs associated with the "General SIR Program." Then, for KEDNY's Superfund Sites, KEDNY began with a historical three-year average of Superfund Site

spending from calendar year 2020 to calendar year 2022. KEDNY then applied a three percent inflation factor to the three-year average of Superfund site spending in each Fiscal Year starting in Fiscal Year 2026 to Fiscal Year 2028. KEDNY then combined its MGP and Superfund site forecasts for Fiscal Year 2025 through Fiscal Year 2028 and applied a four-year average. Following the calculation of the four-year average, KEDNY made an adjustment to reduce its forecast to reflect uncertainties in expected spending and potential offsetting recoveries. Accordingly, KEDNY's forecasted Rate Year SIR expense is $100.00 million.

Q. Explain why KEDNY made a normalizing adjustment of 20 percent to its annual MGP site forecasts.

A. According to the response to DPS-324 as shown in Exhibit___(SSIRP-1), KEDNY applied a 20 percent reduction to its MGP site forecast to reflect a historical three-year average of actual versus projected spending experienced between calendar years 2020 and 2022.

Q. Explain what costs are included in the General SIR Program and why KEDNY made a normalizing

adjustment to remove them from its annual MGP site forecasts.

A. According to the response to DPS-634, included in Exhibit___(SSIRP-1), the General SIR Program costs are expenditures of the SIR program that are not typically assigned to a specific SIR project such as insurance recovery efforts, identifying PRPs, and program administrative support. KEDNY made a normalizing adjustment as they expect to recover costs from insurance recoveries to offset the General SIR Program costs; however, the timing and amounts of these recoveries is uncertain at this time. As such, KEDNY included these expected credits to net the General SIR Program costs to zero, resulting a net neutral impact to ratepayers.

Q. Explain why KEDNY made a normalizing adjustment to reduce its forecast based on uncertainties in expected spending and potential offsetting recoveries.

A. According to the response to DPS-825, included in Exhibit___(SSIRP-1), KEDNY continues to pursue offsets to remediation costs in the form of insurance recoveries, identification of other

potentially responsible parties, and property sales. As such, KEDNY made an adjustment to include any of these potential offsets that will result in reduced spending and are expected to occur in Fiscal Year 2025 through Fiscal Year 2028. However, KEDNY asserts these offsets are not measurable at this time and the reduction in the forecast is simply an estimate to reflect potential future offsets.

Q. Explain how KEDLI developed its Rate Year forecast.

A. KEDLI forecasted its Rate Year expense based on a four-year average of its projected level of expense at its MGP sites from Fiscal Year 2025 through Fiscal Year 2028. KEDLI then made an adjustment to reduce its annual MGP site projections by five percent. Accordingly, KEDLI's forecasted Rate Year SIR expense is $6.828 million.

Q. Explain why KEDLI made a normalizing adjustment of five percent to its annual MGP site forecasts.

A. According to the response to DPS-327, as shown in Exhibit___(SSIRP-1), KEDLI applied a five

percent reduction to its MGP site forecast based on a historical three-year average of actual versus projected spending experienced between calendar years 2020 and 2022.

Q. Explain how the Companies developed the projected level of expense at their MGP sites.

A. According to the direct testimonies of Charles F. Willard, the DEC schedule is not yet available for the Rate Year or Data Years. Therefore, the Companies' MGP forecasts for Fiscal Year 2025 through Fiscal Year 2028 are based on the most recent approved DEC schedule, as well as the anticipated work schedule for Fiscal Year 2024. The work schedules take into account the status of each site, and the knowledge derived from project managers regarding site progress and potential delays to determine the projected work on a site-by-site basis. The projected costs for each site are based on the anticipated scope of work at the site and the projected remedy for those sites still requiring remedial activities.

Q. Please explain the Companies' proposal for recovery of SIR expenditures during the Rate

Year.

A. The Companies propose to recover the forecasts of SIR costs for the Rate Year in base rates. In addition, the Companies propose to continue to annually recover one-tenth of their respective December 31, 2016 SIR deferral balance.

Q. Do you agree with KEDNY's methodology for forecasting its SIR costs in the Rate Year?

A. No, we do not agree with KEDNY's methodology to forecast SIR costs for the Rate Year. More specifically, we do not agree with basing the Companies' SIR Rate Year forecast on an average of projected costs. SIR costs are subject to a high degree of uncertainty, and variability, given the regulatory oversight, these sites are subject to constant modification by the DEC and the EPA. Additionally, in this instance, the complex urban environment poses additional challenges in accurate forecasting. Furthermore, KEDNY's SIR projections have been historically unreliable. For example, as shown in the response to DPS-324, KEDNY has over projected its actual SIR spending by an average

of twenty-five percent over the last five calendar years. In fact, KEDNY acknowledges that its own projections have been historically inaccurate, as demonstrated by its use of normalizing adjustments to its SIR forecast.

Q. Does the Panel believe the Companies' adjustments to reflect historic underspend and capture any uncertainties are appropriate and reasonable?

A. The Companies' proposed adjustments to reflect historic underspend and attempt to capture any uncertainties are reasonable in theory. However, SIR sites, and the associated costs to remediate, are subject to a high degree of variability given its regulatory oversight and robust remedial activity. Moreover, the Companies' forecast of its SIR sites from Fiscal Year 2025 through Fiscal Year 2028 have not yet been approved by the DEC, and are subject to potential modification. Accordingly, we do not agree with applying these adjustments to the Companies' forecasted SIR costs, which have not yet been approved by the necessary regulatory bodies and historically have been unreliable.

Q. What could cause SIR spending to be lower than what is forecasted under the DEC schedule?

A. Several factors could contribute, including: (1) schedule and scope modifications that occur on a year-to-year basis, which are outside of the Companies' control; (2) construction delays due to site access or issues with property owners; (3) permitting requirements and regulatory approvals; and (4) investigation, design, and implementation delays associated with unanticipated site conditions.

Q. Are there any KEDNY sites which have a particular risk of underspending?

A. Yes, the specific sites with such a risk for KEDNY are the Metropolitan MGP, Fulton MGP and Gowanus Canal Superfund sites.

Q. Please explain the Panel's concerns regarding the Metropolitan MGP site.

A. KEDNY's response to DPS-636, as shown in Exhibit___(SSIRP-1) regarding the Metropolitan MGP site, states that there are challenges regarding negotiating access to privately owned property and the site still requires regulatory approval to commence toward remedial

construction. As also illustrated in the Companies response to DPS-636, KEDNY has faced long-standing site access challenges at this site. There have also been ongoing, but as of yet unresolved, access negotiations with the property owner related to bulkhead work for design and remediation purposes which have caused delays.

Q. Are there concerns or risks associated with regulatory approvals related to the Metropolitan MGP site?

A. Yes. As also stated in the Companies' response to DPS-636, as of July of 2023, DEC has still not approved the preliminary 60 percent design for the bulkheads, which also requires input from the property owner with which KEDNY is still negotiating. Moreover, a full 100 percent complete design is needed to commence work.

Q. Does KEDNY's historic spend at the Metropolitan MGP site support the Panel's concerns?

A. Yes, KEDNY has materially underspent at the site in each calendar year over the past five years, 2018-2022, as shown in Table 1 of the KEDNY Annual Reports Concerning the Status of Site

Investigation and Remediation Costs, Schedules, and Regulatory Compliance, filed in Case 11-M-0034. Notably, KEDNY underspent by $1.013 million in calendar year 2021 and $0.761 million in calendar year 2022.

Q. Please explain the Panel's concerns regarding the Fulton MGP site.

A. As discussed in the response to DPS-635, as shown in Exhibit___(SSIRP-1), there were multiple concerns noted for the Fulton MGP site including the $3.4 million underspend experienced during the 2021 calendar year. KEDNY indicated that the underspend was related to the property owner's redevelopment work. The work was initially projected to start in 2021 but was delayed because of the COVID-19 pandemic. The property developers eventually started the redevelopment work in August of 2022. Subsequently, as stated in the 2022 SIR Annual Report, KEDNY underspent the 2022 budget by $3.9 million. KEDNY asserts that the underspend was attributable to a delay by the property owner related to waste characterization, delays in regulatory approval

by the DEC, and obstructions that were encountered during excavation which required modification to the designs and additional permitting approvals. Cumulatively, these issues resulted in an approximate eight-month delay.

Q. Are there other delays at Fulton MGP site?

A. Yes, work related to Parcel 3 which was scheduled for 2023 has been delayed due to unexpected DEC requests to expand the scope of work, which will cause further project delays. In summary, the site has encountered various constraints thereby delaying any progress.

Q. Please explain the Panel's concerns regarding the Gowanus Canal Superfund site.

A. The Gowanus Canal Superfund site has experienced various delays. In its response to DPS-946, as shown in Exhibit___(SSIRP-1), KEDNY states, "[t]he combined effect of the delays and accelerations through the end of 2022 has led to an overall critical path delay of approximately 63 workdays." Additionally, "[t]he Trust's schedule has changed to accommodate a more efficient approach to remediating the canal and,

currently, construction in TB-1 is anticipated to start in the first quarter of calendar year 2027 with completion by the fourth quarter of calendar year 2029."

Q. Has KEDNY historically underspent at this site?

A. Yes, Table 1 of the KEDNY Annual SIR Report Concerning the Status of Site Investigation and Remediation Costs, Schedules, and Regulatory Compliance indicates that in 2021 and 2022 KEDNY underspent by more than $12.000 million each year.

Q. Are there any KEDLI sites which have a particular risk of underspending?

A. Yes, the specific sites with such a risk for KEDLI are the Inwood Holder and Bay Shore MGP sites.

Q. Please explain the Panel's concerns regarding the Inwood Holder site.

A. The Inwood Holder Site represents the majority of forecasted spending in the Rate Year and is still in the early stages of remediation. Moreover, as stated in KEDLI's response to DPS-267, as shown in Exhibit___(SSIRP-1), the activities at the Inwood Holder site are driven

by a feasibility study that has been submitted, but not reviewed or approved by the DEC.

Q. Please explain the Panel's concerns regarding the Bay Shore MGP site.

A. In the Companies' response to DPS-321 and DPS-876, as shown in Exhibit___(SSIRP-1) the Company initially forecast over $2.0 million for remediation work at Operating Unit, or OU, 4 on this site, however, an access agreement for OU4 has not been negotiated. Thus, KEDLI lacks the necessary site access to conduct this work. Further, the property owner in question is planning on removing a structure that is currently standing on OU4 and further work cannot be completed until removal of the structure is complete. Thus, KEDLI is also prohibited from making any further progress due to conflicting construction work at the site.

Q. Are the costs forecast for this project accurate?

A. KEDLI stated in its response to DPS-876 that the initial forecast of costs for OU4 are not accurate and that these costs are being updated. Also, the Panel is concerned that this update

may lead to schedule delays.

Q. What is the Panel's proposal for calculating the Rate Year forecast of KEDNY's SIR expense?

A. Instead of KEDNY's convoluted forecasting methodology of using a combination of a projected average for its MGP sites, and a historic average for its Superfund sites, we propose a simpler and more accurate approach of forecasting Rate Year SIR costs based on a historical two-year average of calendar year 2021 and calendar year 2022 SIR spending, plus inflation.

Q. Explain why the use of a historic average is appropriate for KEDNY.

A. As previously discussed, SIR costs are subject to a high degree of variability, and KEDNY has demonstrated difficulty in adhering to its budgeted level of SIR costs. Given that KEDNY's projected spending for Fiscal Years 2025 to 2028 are based on unapproved DEC schedules, that are subject to their approval and potential modification, we recommend the use of a historical average, based on actual spending, which will result in a more reliable Rate Year

forecast.

Q. Why does the Panel recommend using an average of calendar year 2021 and calendar year 2022 to forecast KEDNY's Rate Year SIR expense?

A. In calendar year 2020, KEDNY spent $153.018 million, which is roughly 263 percent greater than the amount incurred in calendar year 2019 of $42.173 million. Further, the amount incurred in calendar year 2020 was roughly 49 percent and 50 percent less than the amounts of $77.689 million and $76.080 million incurred in calendar year 2020 and calendar year 2021 respectively. Thus, the amounts incurred in calendar year 2020 are anomalous and should be excluded from a multi-year historic average. However, the amount of SIR costs incurred in calendar years 2021 and 2022 represent the most recent levels of annual SIR spending and also demonstrate a reasonable level of consistency. To determine whether KEDNY was still experiencing this level of SIR costs, we reviewed the level of SIR spending incurred in calendar year 2023. As shown in response to DPS-944, in calendar year 2023, or through June

2023, KEDNY has spent approximately $38.186 million at its MGP and Superfund sites. An annualization of this amount results in an anticipated SIR spend for calendar year 2023 of approximately $76.372 million. As such, the SIR spending for calendar year 2023 is expected to be in reasonable proximity of the amounts incurred in calendar year 2021 and calendar year 2022. Thus, given the amounts incurred in calendar year 2021, and calendar year 2022 have been generally consistent, and are in line with the anticipated SIR spend in calendar year 2023, our recommendation to use an average of calendar year 2021 and calendar year 2022 SIR spend reasonably serves as a basis to forecast the level of SIR spend to be expected during the Rate Year.

Q. Quantify your recommended methodology for the Commission's consideration.

A. Utilizing the Panels' methodology of forecasting KEDNY's total SIR expense based on a historical two-year average, plus inflation, comprised of calendar year 2021 and 2022 reduces KEDNY's forecasted SIR expense by $21.041 million,

resulting in a Rate Year forecast SIR expense of $78.959 million.

Q. Do you agree with KEDLI's methodology for forecasting its SIR costs in the Rate Year?

A. No. Similar for the reasons previously discussed for KEDNY, we do not agree with KEDLI's methodology regarding the use of a projected average. Similar to KEDNY, KEDLI's SIR projections have been historically unreliable. For example, as shown in the response to DPS-327, KEDLI has over projected its actual SIR spending by an average of fifteen percent over the last five calendar years. Additionally, KEDLI's SIR expense largely relates to activities at the Inwood Holder site, which accounts for approximately 82 percent of the total projected spend for the Rate Year. Thus, if there were an unanticipated delay or issue with this site, which has yet to be approved by the DEC, KEDLI's budget variance for the Rate Year could be even greater than it has been historically.

Q. What is your proposal for calculating the Rate Year forecast of KEDLI's SIR expense?

A. We recommend forecasting KEDLI's Rate Year SIR expense in the same manner as what the Panel recommended for KEDNY, or the use of a historical two-year average.

Q. Explain why the use of a historical two-year average to forecast the Rate Year is appropriate for KEDLI.

A. As shown in the Companies' response to DPS-327, KEDLI's yearly SIR expense has declined each year from calendar year 2020 to calendar year 2022. Furthermore, as shown in the response to DPS-944, in calendar year 2023, or through June 2023, KEDLI has spent approximately $1.060 million. An annualization of this amount results in an anticipated SIR expenditure for calendar year 2023 of approximately $2.120 million, which is even lower than the levels incurred in calendar year 2021 and calendar year 2022.

Q. Quantify your recommended methodology for KEDLI.

A. Our methodology of forecasting KEDLI's total SIR expense based on a historical two-year average of calendar year 2021 and 2022, plus inflation reduces KEDLI's forecasted SIR expense by $2.015

million, resulting in a Rate Year forecast SIR expense of $4.813 million.

Cost Reconciliation

Q. Do the Companies propose to continue their respective SIR reconciliations?

A. Yes, the Companies propose to continue their respective SIR reconciliations. Additionally, KEDNY proposes the continuation of its SIR Recovery Surcharge.

Q. Do you agree with the continuation of the SIR reconciliation for both Companies?

A. Yes, we agree with the continuation of the SIR reconciliation for both Companies as set forth in the previous case.

Q. Do you agree with the continuation of the SIR Recovery Surcharge Mechanism for KEDNY?

A. Yes. While KEDNY has yet to trigger the SIR Recovery Surcharge Mechanism, we still believe the anticipated costs, and difficulty in forecasting the time of the costs, associated with the Gowanus Canal and Newtown Creek Superfund sites warrant continuation of the SIR Recovery Surcharge Mechanism. The SIR Recovery Surcharge Mechanism would enable KEDNY to

appropriately recover significant incremental costs associated with these sites in a manner that would not unreasonably impact ratepayers.

Q. Please summarize your recommendations.

A. Based on the information provided in this proceeding, we believe that the Companies have sufficiently satisfied the informational requirements of the SIR Order and adequately demonstrated compliance with the Inventory of Best Practices for Utility SIR Programs. We recommend the use of a two-year historical average to forecast the Companies' SIR spending for the Rate Year. Therefore, we have reflected a downward adjustment to SIR expense in the amount of $21.041 million for KEDNY, and $2.015 million for KEDLI. This results in a Rate Year forecast for KEDNY in the amount of $78.959 million and a Rate Year forecast for KEDLI in the amount of $4.813 million.

Q. Does this conclude your testimony at this time?

A. Yes, it does.